



Facultad de
Empresa y Gestión
Pública - Huesca
Universidad Zaragoza



FUNDAMENTALS OF MARKETING

Degree in Business Administration



Topic 1:

INTRODUCTION TO MARKETING

Remember: These slides are an outline; complete them in class and/or with the recommended reading material.



Universidad
Zaragoza



Facultad de
Empresa y Gestión
Pública - Huesca
Universidad Zaragoza

Learning objectives

- Understanding what marketing is
- Understanding the functions and roles of marketing in the economy and in organizations
- Understanding the basics of marketing
- To understand the evolution of marketing and the directions taken by organizations
- Identify the latest trends



Universidad
Zaragoza

Index

- 1.1 What is marketing?
- 1.2. Marketing functions in the organization. Basic concepts
- 1.3. Companies' orientations towards marketing
- 1.4. Trends within market orientation
 - 1.4.1. Marketing social
 - 1.4.2. Relationship Marketing
 - 1.4.3. Marketing digital
 - 1.4.4. Marketing experiencial
 - 1.4.5 Neuromarketing

1.Introduction: What is marketing?



1.Introduction: What is marketing?



As a philosophy:

- Principles, philosophy, mental attitude, attitude
- Way of conceiving the exchange that defines the way in which we should address the market
- “The customer is king” Satisfy their needs, but not at any price.
- Obtain profitability for the company

As a technique:

- Planned process to carry out the exchange relationship
- Identify, create, develop and serve demand
- Planned process, composed of different phases and tools.



1.Introduction: What is marketing?



MARKETING DEFINITIONS

• AMA(1960):

The result of business activities that direct the flow of goods and services from the producer to the consumer or user.

• AMA (1985):

The process of planning and executing product design, pricing, promotion, and distribution of goods, services, and ideas to create exchanges that satisfy the objectives of individuals and organizations.

1. Introduction: What is marketing?

MARKETING DEFINITIONS

• AMA (2004):

Marketing is a function of organizations and a set of processes for creating, communicating, and delivering value to customers and for managing customer relationships through procedures that benefit the organization and all stakeholders.

AMA (2017) Latest version of the definition:

Marketing is the activity carried out by organizations of individuals, operating through a set of institutions and processes to create, communicate, deliver value and exchange offerings that have value for consumers, clients, entrepreneurs and society at large.

1.2 Marketing functions in the company and basic concepts

Marketing Process (Kotler and Armstrong, 2018)



2. Marketing functions in the company and basic concepts



- **NEED:** a state in which a person has the feeling (self-perception) that they are lacking "something"
- **DESIRE (WISHES):** the way in which each person expresses how they wish to satisfy a need, influenced by their cultural/social development
- **DEMAND:** desires backed by the ability to pay.

2. Marketing functions in the company and basic concepts

- **PRODUCT (MARKET SUPPLY):** is anything that can be offered to satisfy a need or desire
- **NET VALUE:** relationship between the benefits (tangible and intangible) provided by the product and the costs (both monetary and non-monetary) borne by the person who buys it.



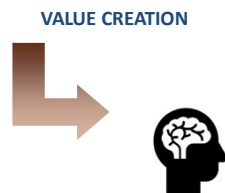
This photo by Unknown Author is licensed under CC BY-NC-ND



This photo by Unknown Author is licensed under CC BY

2. Marketing functions in the company and basic concepts

- **EXCHANGE:** an act between two parties in which one of them obtains a desired product (service, idea, etc.) by offering something in return.



Are exchanges always monetary?

- **SATISFACTION:** degree to which the customer's perceived performance of the product meets his/her expectations.
- **MARKET:** current and potential buyers of a product.

2. Marketing functions in the company and basic concepts

How is satisfaction measured?

Key Performance Indicators (KPIs)

Customer satisfaction scores (CSAT):
satisfaction indicator

Net Promoter Score (NPS):
customer loyalty indicator

Customer Effort Score (CES) :
Indicator of customer effort to complete an action or solve a problem

Other indicators:

- **Web statistics (Google Analytics)**
- **Social media statistics**
- **Surveys**

1.2 Marketing functions in the company and basic concepts

Marketing Process (Kotler and Armstrong, 2018)



2. Marketing functions in the company and basic concepts



STRATEGIC MARKETING: ANALYSIS DIMENSION

- **AIM:**
Achieve economic performance superior to the market through a continuous policy of creating products with superior value to the competition.
- **HORIZON :** MEDIUM AND LONG TERM



OPERATIONAL MARKETING: ACTION DIMENSION

- **AIM:**
Obtain a given market share through the use of the marketing mix and the marketing budget.
- **HORIZON :** SHORT AND MEDIUM TERM

2. Marketing functions in the company and basic concepts

BASIC MARKETING TOOLS

The marketing mix is the set of tools that the company uses to achieve its marketing objectives.

Focus on the company: classic approach, 4 P's of marketing or marketing mix, McCarthy (1960)

PRODUCT
PRICE
PLACE
PROMOTION



Source: www.canva.com

2. Marketing functions in the company and basic concepts

BASIC MARKETING TOOLS

Customer focus: from the 4 "Ps" to the 4 "Cs" (Lauterborn, 1990).

Customer Value (Product)
Customer Cost (Price)
Convenience (Place)
Communication (Promotion)

1.2 Marketing functions in the company and basic concepts

BASIC MARKETING TOOLS

Adaptation to the DIGITAL age: from the 4 C's to the 4 E's (Fetherstonhaugh, 2009).

Product (Customer value)	→	Experience
Precio (Customer cost)	→	Exchange
Distribution (Convenience)	→	Everyplace
Communication	→	Evangelism

3. Evolution in the orientation of companies towards Marketing

PRODUCTION ORIENTATION



PRODUCT ORIENTATION



SALES ORIENTATION



MARKET ORIENTATION

3. Evolution in the orientation of companies towards Marketing:



Production Orientation

- Stable and controllable environment: Demand GREATER than supply
- Assumption: People choose the available products (what is there, they cannot choose)
- Key to business success: Manufacturing a large volume of inexpensive products and services: productive efficiency
- Production function-dominated organization: Developing production capacity and improving productivity
- Marketing plays a null or very limited and passive role (no market research, poor communication, no interest in knowing what the customer wants, etc.)

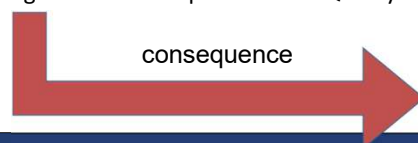


3. Evolution in the orientation of companies towards Marketing:



Product Orientation

- Environment: Demand BALANCED with supply, greater competition
- Assumption: People choose products that offer the best quality. Good products sell themselves.
- Key to business success: Manufacturing quality products and services at a reasonable cost
- Organization dominated by the production function: Concern for the technical perfection of the product
- Marketing: a limited and passive role. Quality takes on special importance.



**MARKETING
MYOPIA**



3. Evolution in the orientation of companies towards Marketing:

Sales Orientation



- Environment: competitive market. Supply GREATER than Demand. New forms of distribution (self-service), expanded markets, brand policy.
- Assumption: If you don't encourage buying, people won't buy.
- Key to business success: Convincing people to buy through advertising, personal selling, promotions, etc.
- Product decisions linked to the production function: Concern for creating an efficient commercial organization (creation of the Sales Department)
- Limited marketing role: focused solely on an aggressive sales effort. Offer-based approach



3. Evolution in the orientation of companies towards Marketing:

Market Orientation



- Environment: competitive market. Supply GREATER than Demand. Mature, fragmented markets, new needs, globalization.
- Assumption: Principle of consumer sovereignty ("the customer is king")
- Key to business success: Identify the needs and desires of the target audience and satisfy them more effectively and efficiently than the competition.
- Organization dominated by a market orientation (people and competition). Demand-driven approach, the starting point is the customer.
- Central role of marketing: identifying needs and wants, providing superior net value to the competition



3. Evolution in the orientation of companies towards Marketing: summary



Orientation	Evolution	Around	Key to success	Dominant function	Role of Marketing
Production	Until the 1950s	Stable and controllable. Demand > Supply	Large production at low cost	Production: Production capacity and productivity	Null or limited and passive
Product	Until the 1960s	Greater competition; Balance between supply and demand	High quality products	Production: Perfecting the product	Limited and passive. Focus on quality
Sales	50s and 60s	Supply > Demand, Competition, Self-Service	Aggressive sales	Production: Sales Management, Efficient Commercial Organization	Active, focus on convincing the consumer
Market (Marketing Philosophy)	1970s - present	Supply > Demand Mature, fragmented markets, globalization, competition	Identify needs and satisfy them better than the competition	Marketing. Market and competition orientation	Identify needs and wants, provide superior net value

4. Trends within Market Orientation



- **MARKETING SOCIAL**

Responding to the sociocultural consequences of the company

- **RELATIONSHIP MARKETING**

Building long-term customer relationships (customer loyalty)

- **MARKETING DIGITAL**

Actions and strategies that are executed on the electronic devices of the target audience.

- **MARKETING EXPERIENCIAL**

Offer a unique experience, create brand FANS.

- **NEUROMARKETING**

Brain processes and marketing.

4. Trends within Market Orientation: Social Marketing

Motivated by social changes:

- CONSUMER MOVEMENT (1970s): Excessive sales focus. Adapting supply to demand, not the other way around (Applying Marketing)
- ENVIRONMENTAL MOVEMENT: Concern about the impact of consumption and marketing on the environment. Social cost of consumption

Marketing must contribute to achieving LONG-TERM:

- The well-being of buyers
- The well-being of the entire society

OPTICS OF SOCIAL MARKETING

Determine the needs and desires of target markets and satisfy them more effectively than the competition, so as to maintain or improve the well-being of consumers and society (Lambin, 2003)

4. Trends within Market Orientation: MARKETING SOCIAL

Corporate Social Responsibility (CSR)



It involves managing the company to ensure that its operations are sustainable.

- in economic terms,
- the social
- and the environment
- taking into account the interests of all groups and the sustainability of future generations

4. Trends within Market Orientation: Relationship Marketing



Motivated by:

- Market sophistication: customers know they have a central role
- Advances in ICT: management of large amounts of customer data
- It is more profitable to retain and build loyalty among regular customers than to attract new ones

Provides:

- Financial benefits:
Customer loyalty programs Club Marketing
- Social benefits:
Personalization of the relationship

OPTICS OF RELATIONSHIP MARKETING

Establish long-term, mutually satisfying, prosperous, and lasting relationships with profitable customers.
Gaining their loyalty



4. Trends within Market Orientation: Relationship Marketing



Tools to maintain long-term relationships with customers:

- Loyalty programs
- Personalization
- CRM (Customer relationship management)

Transactional marketing perspective

- Time perspective: short
- Goal: short term (gaining customers)
- One-time transactions
- Rivalry with supplier companies/
/competition/distribution
- Marketing function in the marketing department
- Little emphasis on customer service

Relationship marketing perspective

- Time perspective: long
- Goal: long term (maintain clientele)
- Continued transactions
- Cooperation with supplier companies/
/competition/distribution
- Marketing function throughout the organization
- Strong emphasis on customer service



4. Trends within Market Orientation: Experiential Marketing



Motivated by:

- Offer experiences, helping to connect the brand with the consumer's habits.
- People respond to rational stimuli, but much more to emotional ones.

Provides:

- A unique and personal experience, rather than a product that runs out once consumed.
- Not just loyal customers, but those committed to the brand through emotional bonds. Fans of the firm.

EXPERIENTIAL MARKETING OPTICS

*Communicating the brand's message at the time and place where people are most receptive to it and allowing them to interact with the brand or product.
(Lederman, 2008)*



4. Trends within Market Orientation: MARKETING ONLINE / DIGITAL



It is characterized by:

- High accessibility (who doesn't have a mobile phone and/or internet access?)
- Affordable cost compared to other traditional communication channels (interesting for small businesses)

B2C:

- Fast purchasing process, responsive to offers and short-term messages
- Emotion-based content: that makes the person who buys feel good
- Individualized content, importance of brand recognition



Source: www.canva.com



4. Trends within Market Orientation: MARKETING ONLINE / DIGITAL

Electronic Word of Mouth (EWOM)

Any opinion - positive or negative - formulated by current, potential or past consumers, about a particular product or company, which is made available to a multitude of people and organizations through the Internet (Henning-Thurau et al, 2004).

Marketing viral

Viral marketing describes the phenomenon whereby consumers mutually share and disseminate relevant marketing information, initially sent deliberately by an organization to stimulate and capitalize on electronic word-of-mouth (eWOM) behaviors (Van der Lans et al. 2010).

4. Trends within Market Orientation: MARKETING ONLINE / DIGITAL

Reach: Number of people who see the content.

Brand awareness: How many people remember the brand the next day.

Relationship between
viral marketing
objectives



Branding: The impression the brand left. Elegant?
Fun? Reliable? Annoying?...

4. Trends within Market Orientation: EXPERIENTIAL MARKETING



Experiential marketing is a marketing strategy that aims to create memorable and exciting situations in which the consumer actively participates instead of just being a passive recipient of advertising.

More than selling a product, the goal is to make the consumer "feel" the brand.

OBJECTIVE: for the person to remember the experience and share it with others, which strengthens:

- Loyalty
- The recommendation
- Positive brand perception



4. Trends in Market Orientation: Experiential Marketing



Five types of experiences that can be developed for customers: (Schmitt, 2003):

- **Sensations:** focused on the senses – sight, smell, hearing, taste and touch –
- **Feelings:** Arouse positive feelings about the brand such as love, joy, enthusiasm, etc.
- **Thoughts:** relate positive thoughts to the brand, such as ecology or education.
- **Actions:** Motivate customers to take actions that have a positive impact on the way they relate to the brand, even improving their lives.
- **Relationships:** Create experiences that connect the person who buys the product with a social system, community, or identity.



4. Trends within Market Orientation: **NEUROMARKETING**



Analyze what mental processes, both explicit and implicit, influence consumer behavior.

They allow us to determine which areas of a person's brain are activated in response to a specific stimulus, such as when we are looking at an advertisement, a product, or entering a store.

Therefore, they can identify the conscious and unconscious factors that influence behavior



4. Trends within Market Orientation: **NEUROMARKETING**



It helps develop more effective marketing strategies because:

- It improves the understanding of consumer needs and desires, and therefore, more suitable products are developed.
- Create more effective marketing messages
- Optimize and personalize the customer experience

TIPOS DE NEUROMARKETING

- | | |
|----------------|-----------------|
| 1. Auditivo | 4. Emocional |
| 2. Visual | 5. De Historias |
| 3. Kinestésico | |



Fuente: Hubspot





FUNDAMENTALS OF TO MARKETING

Degree in Business Administration



Topic 1:

INTRODUCTION TO MARKETING

Remember: These slides are an outline; complete them in class
and/or with the recommended reading material.

Questions: mjbarles@unizar.es / office 32 / Moodle

Automatic translation by Canva Pro.:



Departamento de
Dirección de Marketing e
Investigación de Mercados
Universidad Zaragoza